

Document 14: Entrepreneurship & Incubation Center Rules

Institution: Hyderabad Institute of Technology (HIT)

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1. Structure and Mission of the HIT Incubation Center (HIT-IC)

The Hyderabad Institute of Technology Incubation Center (HIT-IC) operates as a legally autonomous, Section 8 non-profit corporate entity embedded within the university campus. Its exclusive mandate is to foster deep-tech entrepreneurship, convert academic research into commercially viable products, and provide a heavily subsidized ecosystem for student founders to build, test, and scale their startups.

The HIT-IC is not a student club; it is a professional startup accelerator governed by a Board of Directors comprising the University Chancellor, the Dean of Innovation, and three external venture capital partners. Admission into the HIT-IC is one of the most competitive processes within the institution. Startups admitted to the cohort are classified as "Incubatees" and must strictly adhere to corporate governance protocols, milestone tracking, and institutional equity-sharing agreements. Failure to comply with these professional standards results in immediate eviction from the facility and the revocation of all financial grants.

2. Founder Eligibility and Cohort Selection Protocols

The HIT-IC conducts exactly two intake cohorts per academic year: the "Monsoon Cohort" in August and the "Spring Cohort" in January. To apply for incubation, the founding team must submit a comprehensive fifty-page business plan, a technical feasibility report, and a three-year financial projection model to the screening committee.

Strict Eligibility Gatekeeping:

- **Team Composition:** A startup must have a minimum of two and a maximum of four official co-founders. Solo founders are strictly prohibited from applying, as the university believes single-point failure risks are too high for institutional funding. Furthermore, to encourage interdisciplinary innovation, teams consisting of founders from at least two different engineering departments (e.g., a CSE student partnering with a Mechanical student) receive a mandatory ten-point bonus during the initial application scoring phase.
- **Academic Standing:** Entrepreneurship cannot be used as an excuse for academic failure. Every student founder listed on the application must possess a minimum Cumulative Grade Point Average (CGPA) of 7.0 and have zero active academic backlogs at the time of application.
- **Conflict of Interest:** Final-year students who have already accepted a corporate placement offer (Tier 1, 2, or 3) from the Training and Placement Cell are legally barred from applying for incubation funding. A student must officially forfeit their placement privileges via a notarized affidavit before presenting their pitch to the HIT-IC Board.

3. Seed Funding, Institutional Equity, and Tranche Releases

Startups that successfully clear the final boardroom pitch are inducted into the HIT-IC and become eligible for the "Institutional Genesis Grant." The university provides zero-interest seed funding up to a maximum strict ceiling of ₹5,00,000 (Five Lakh Rupees) per startup.

In exchange for this capital, the specialized mentorship, and the physical workspace, the HIT-IC mandates a fixed, non-negotiable institutional equity stake of exactly 4.5% in the startup. This equity is formalized through a legally binding Term Sheet signed by all founders before a single rupee is disbursed.

To prevent the reckless burning of capital, the ₹5,00,000 grant is never released as a lump sum. It is strictly disbursed in three distinct milestone-based tranches:

1. **Tranche 1 (25% - Prototype Phase):** ₹1,25,000 is released immediately upon signing the Term Sheet. This capital is strictly earmarked for purchasing raw materials, securing cloud server hosting, and building the initial hardware or software prototype.
2. **Tranche 2 (50% - MVP and Beta Testing):** ₹2,50,000 is released only after the startup successfully demonstrates a working Minimum Viable Product (MVP) to the review board and acquires a minimum of one hundred active beta users or three B2B pilot contracts. If the startup fails to reach this milestone within six months of receiving Tranche 1, Tranche 2 is permanently canceled.
3. **Tranche 3 (25% - Market Launch):** The final ₹1,25,000 is released when the startup legally registers as a Private Limited Company with the Ministry of Corporate Affairs (MCA) and initiates its first official commercial marketing campaign.

4. Financial Auditing and Strict Misappropriation Guidelines

University seed funding is sourced from institutional endowments and government technology grants; therefore, every single rupee spent by the student founders is subjected to ruthless forensic auditing. Startup teams must submit digital GST invoices and bank statements to the HIT-IC financial controller on the 15th of every month.

The university explicitly dictates what the seed fund can and cannot be utilized for.

Permitted Expenditures: Founders may use the grant to purchase proprietary software licenses, rent Amazon Web Services (AWS) or Google Cloud infrastructure, manufacture printed circuit boards (PCBs), procure industrial raw materials, and pay legal fees for trademark and patent filings.

Prohibited Expenditures (Zero-Tolerance Banned List):

1. **Founder Salaries:** Founders are strictly prohibited from drawing a salary, stipend, or consultation fee from the university grant.
2. **Personal Electronics:** Seed funds cannot be used to purchase laptops, smartphones, tablets, or smartwatches for the founders, even if they argue the devices are needed for "app testing" or "coding."
3. **Travel and Hospitality:** Taking potential clients or venture capitalists to expensive dinners, purchasing flight tickets for outstation conferences, or paying for luxury hotel accommodations using university funds is classified as immediate financial embezzlement.

If an audit reveals that a founder spent even ₹1,000 on a prohibited item, the startup's bank account is immediately frozen. The founders are given seventy-two hours to repay the embezzled amount out of their personal pockets. Failure to do so results in the immediate liquidation of the startup, expulsion from the HIT-IC, and potential academic suspension.

5. Intellectual Property (IP) Rights and Patent Ownership

The ownership of Intellectual Property is a highly sensitive legal parameter within the university. The HIT-IC maintains strict contractual boundaries to ensure both the student and the institution are fairly compensated for innovations developed on campus.

If a startup creates a software application or a hardware device entirely on their own time, utilizing only the provided seed funding and generic workspace, the student founders retain 100% ownership of the resulting patents and copyrights.

However, if the startup utilizes specialized, multi-million-rupee institutional infrastructure—such as the university's electron microscopes, the robotics testing wind tunnel, or the bio-chemical synthesis lab—to develop their core technology, the university claims a "Joint Intellectual Property Right." In this scenario, the patent is filed jointly in the name of the startup and the Hyderabad Institute of Technology. Furthermore, the university is entitled to a 2% royalty on the gross revenue generated specifically from that patented technology for the first three years following the founders' graduation.

If a student team pivots their business model, abandons their prototype, and formally dissolves the startup before graduating, any intellectual property or patents developed using university funds automatically revert to 100% institutional ownership. The university may then auction or license that IP to third-party corporations.

6. The "Startup Semester" Academic Waiver (8th Semester)

To allow highly successful founders to focus entirely on scaling their businesses without the distraction of final-year examinations, the HIT-IC offers the prestigious "Startup Semester" academic waiver. This policy allows student founders to completely substitute their eighth-semester industrial internship and major academic project with their own company operations.

This waiver is not automatically granted to all incubated startups. To qualify for the Startup Semester, the founding team must prove exceptional market traction by satisfying the following criteria before the end of their seventh semester:

1. The startup must have successfully cleared the Tranche 2 (MVP) milestone and received their second round of university funding.
2. The startup must be officially incorporated as a Private Limited Company (LLPs or Sole Proprietorships are rejected).
3. The company must have generated a minimum cumulative gross revenue of ₹1,00,000, or successfully raised external angel investment exceeding ₹10,00,000.

If approved, the founders are permitted to work out of the HIT-IC full-time from January to June. At the end of the semester, instead of sitting for written university exams, the founders must present a comprehensive "Business Scaling and Valuation Report" to the external venture capital partners on the board. If the board deems the six months of operational work satisfactory, the founders are awarded the full sixteen academic credits required to complete their engineering degree.

7. Infrastructure Access and Fair Usage Policies

Incubated startups are granted premium, 24/7 biometric access to the HIT-IC facility, which features high-speed enterprise Wi-Fi, soundproof investor pitching rooms, and individual startup cubicles.

While the workspace rent is subsidized completely by the university, resource usage is heavily monitored to prevent waste.

- **3D Printing and Prototyping:** Startups are granted a free usage allowance of ₹5,000 per month for the industrial 3D printers and laser cutters. Any material costs exceeding this cap are billed directly to the startup's operational account at standard commercial rates.
- **High-Performance Computing (HPC):** Artificial Intelligence and Data Science startups requiring massive computational power can access the university's central supercomputer cluster. However, usage is capped at 100 GPU hours per week per startup to ensure academic researchers also retain access.
- **Facility Cleanliness:** Founders are expected to maintain professional corporate hygiene in their cubicles. Leaving leftover food, sleeping overnight on the office couches, or damaging the acoustic glass panels results in a ₹2,000 maintenance fine deducted directly from their next funding tranche.

8. Graduation Exit Strategy and Alumni Extensions

The fundamental rule of the HIT-IC is that incubation is explicitly tied to student enrollment. By default, a startup must physically vacate their assigned cubicle, hand over all electronic access cards, and formally exit the incubation center within thirty days of the founders' official graduation date.

The university recognizes that abruptly evicting a growing company upon graduation can disrupt their operations. Therefore, high-performing startups can apply for the "Alumni Entrepreneur Extension." If the HIT-IC Board approves the extension based on the startup's growth trajectory, the founders are permitted to retain their workspace for a maximum of one additional year post-graduation.

However, this extension immediately strips away all student subsidies. Startups operating under the Alumni Extension are no longer eligible for further university seed grants. Furthermore, they must pay a commercial rent of ₹15,000 per month for their cubicle, and all 3D printing or laboratory usage is billed entirely at external corporate rates. Upon the conclusion of this one-year extension, the startup is legally mandated to relocate to an independent commercial office space outside the university perimeter.